

Slides 2.09: Budget Like a Boss

Lesson 2.9, two days, 21 slides (slides 1 to 11 on Day 1, 12 to 21 on Day 2). All prices to be refreshed before teaching.

Slide 1: Do now (Day 1)

- Guess: how much money passed through your hands in the last seven days?
- Write the number.
- List what it went to. Notes: Hand vote on ranges: under \$10, \$10 to \$25, \$25 to \$50, over \$50.

Slide 2: Where did Alex's \$40 go?

- \$40 a month. Gone every month. Nothing big to show for it.
- His mom made him write everything down for one week.
- Snacks Monday \$4. A game Wednesday \$5. Coffee Friday \$3.
- \$12 in a week. On nothing he could remember. Image: a crumpled receipt pile on a kitchen table.

Slide 3: What a budget is

- A plan for income and expenses over a set time, usually a month.
- It tells your money where to go before it leaves.
- Income on a budget is net. Not gross. (Lesson 2.8)
- Copy the definition.

Slide 4: Two kinds of expenses

- Fixed: the same every month, and something bad happens if you skip it. Phone plan. Bus pass. A subscription until you cancel it.
- Variable: it changes, and you control it. Food out. Clothes. Games. Gifts.
- Sort the ten on your sheet, Part A. Notes: Do the first three together, then let them finish.

Slide 5: The 50/30/20 guide

- Adults: 50 percent of net to needs. 30 percent to wants. 20 percent to savings.
- On \$100: \$50, \$30, \$20.
- It is a guide, not a law. Image: a bar split into three colored blocks, 50, 30, 20.

Slide 6: At your scale, the order matters more

- Save first. At least 20 percent.
- Cover fixed needs next.
- Wants get what is left.
- Your savings line is your SMART goal from Lesson 2.4, divided by the months you have.

- Practice: 20, 50, and 30 percent of \$140.

Slide 7: Your next seven days

- Part B. Every dollar you expect to get. Every dollar you expect to spend.
- Real prices. A day for each line.
- Total in. Total out. Balance.
- 14 minutes.

Slide 8: The twelve-dollar question

- Circle every “out” line that is a want under \$5.
- Add them. That is your Alex number.
- Times 4 for a month. Times 12 for a year. Notes: Put three students’ numbers on the board.

Slide 9: What you found

- Three students’ weekly small-want totals, times 4
- Nobody feels a \$3 snack. Everybody feels \$144 a year. Notes: Fill in live.

Slide 10: Think about it

- If your income stays the same and your expenses go up, what happens to savings?
- Name two fixes.

Slide 11: Exit line (Day 1)

- 3 expenses you estimated this week
- 2 that are fixed
- 1 number: your small wants for a month
- Tomorrow: a real month, a real income, real Long Island prices.

Slide 12: Do now (Day 2)

- Fixed or variable? Phone plan. Pizza on Friday. Bus pass. A birthday gift. Streaming.
- Write F or V next to each. Notes: Choral check: F, V, F, V, F.

Slide 13: You are about to be someone else

- One scenario card. A job or an allowance. A goal.
- Build their month on the Budget Builder.
- Save first. Fixed next. Wants with what is left. Image: four index cards fanned out, each with a first name and an age.

Slide 14: Model: Mateo, income

- Net income: \$60 allowance plus \$40 dog walking = \$100.
- Nobody takes taxes out of an allowance. Net equals gross here.

Slide 15: Model: Mateo, savings first

- Goal: concert ticket, \$120, in four months.
- \$120 divided by 4 = \$30 a month.
- \$100 minus \$30 = \$70 left for everything else.
- The savings line is written before any expense.

Slide 16: Model: Mateo, fixed

- Streaming share \$5. Lunch account \$35.
- Total fixed: \$40.
- \$70 minus \$40 = \$30 left for wants.
- Now his usual wants cost \$75. Something has to go. That part is yours.

Slide 17: Build the month

- Income. Savings first. Fixed. Variable. Bottom line.
- Bottom line must be zero or above.
- Cut wants. Never savings. Never a fixed need.
- Then Part D: the percents and one revision.
- 20 minutes.

Slide 18: Three questions at your desk

- Did you save first?
- Does every fixed line have a number?
- Is the bottom line zero or above?

Slide 19: Pair check

- Swap Builders. Read the card, then the budget.
- Three yes or no questions. Sign it.
- One sentence of advice. Return it.
- 6 minutes.

Slide 20: Where this goes

- This budget comes back in Project 02.
- After the Gilded Age Market you rewrite it with what you learned.
- The rewrite is part of your project grade.
- Keep it in your FACS folder.

Slide 21: Exit card (Day 2)

- One thing you would change about this person's spending.
- One line of your own budget you now want to write.
- Tomorrow: you have the money. How do you hand it over? Cash, check, card, phone.